

program. In these cases the consideration paid has almost always been relatively generous, and much in excess of the bargain levels existing not long before.

When interest rates were much lower than in 1970, the field of bargain issues extended to bonds and preferred stocks that sold at large discounts from the amount of their claim. Currently we have a different situation in which even well-secured issues sell at large discounts if carrying coupon rates of, say, 4½% or less. Example: American Telephone & Telegraph 2 5/8s, due 1986, sold as low as 51 in 1970; Deere & Co. 4½s, due 1983, sold as low as 62. These may well turn out to have been bargain opportunities before very long—if ruling interest rates should decline substantially. For a bargain bond issue in the more traditional sense perhaps we shall have to turn once more to the first-mortgage bonds of railroads now in financial difficulties, which sell in the 20s or 30s. Such situations are not for the inexperienced investor; lacking a real sense of values in this area, he may burn his fingers. But there is an underlying tendency for market decline in this field to be overdone; consequently the group as a whole offers an especially rewarding invitation to careful and courageous analysis. In the decade ending in 1948 the billion-dollar group of defaulted railroad bonds presented numerous and spectacular opportunities in this area. Such opportunities have been quite scarce since then; but they seem likely to return in the 1970s.\*

### ***Special Situations, or “Workouts”***

Not so long ago this was a field which could almost guarantee an attractive rate of return to those who knew their way around in it; and this was true under almost any sort of general market situation. It was not actually forbidden territory to members of the general public. Some who had a flair for this sort of thing could learn the ropes and become pretty capable practitioners without the necessity of long academic study or apprenticeship. Others have been keen enough to recognize the underlying soundness of this approach and to attach themselves to bright young men who handled funds devoted chiefly to these “special situations.” But in recent years, for reasons we shall develop later, the field of “arbitrages and workouts” became riskier and less profitable. It may be that in years to come conditions in this field will become more propitious. In any case it is